

# **Discussion of** ***For whom the bill tolls: redistributive consequences of a monetary-fiscal stimulus*** **by Brzoza-Brzezina et al.**

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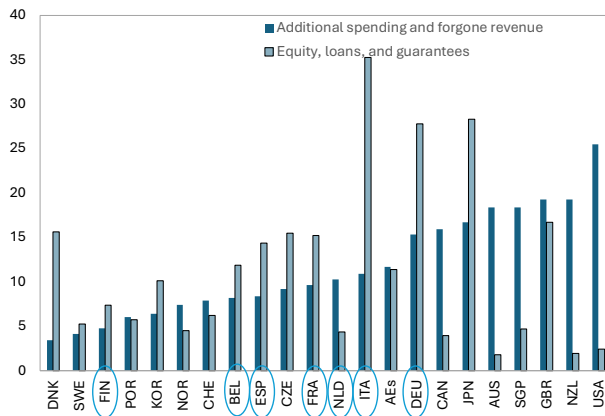
# Summary

- ▶ **Aim:** Who paid the bill for the monetary-fiscal response to the COVID-19 pandemic in the Euro Area?
- ▶ **Approach:** OLG-NK Model with an *active* fiscal/*passive* monetary policy mix (Leeper (1991)).
  - \* Rich HHs portfolio decision: housing, deposits, financial assets & mortgages.
  - \* Calibrate it to the Euro Area.
  - \* Compute the expected lifetime welfare gain for each age cohort.
- ▶ **Results:**
  1. Aggregate consequences of the stimulus.
  2. Redistributive effects: direct vs **indirect** (GE):
    - + Young Europeans benefited from transfers and labor income.
    - + Old Europeans: + from transfers to firms and stock market appreciation - **inflation tax**.

- ▶ Inflation tax is paid mostly by the elderly. → Not new
  - \* Palotti et al. (2023).
  - \* Ferreira et al. (2024) using high-frequency customer level data from BBVA.
  
- ▶ **Contribution:**
  - \* Distributional consequences of fiscal/monetary policy mix along the age dimension. → often overlooked in the HANK literature
  - \* Focus on the indirect (GE) effects
  
- ▶ **My comments:**
  1. Why not exploit cross-country heterogeneity?
  2. ELB
  3. Modelling assumptions

## Comment 1a: Cross-country heterogeneity

- Monetary policy is common, but Fiscal policy is not.

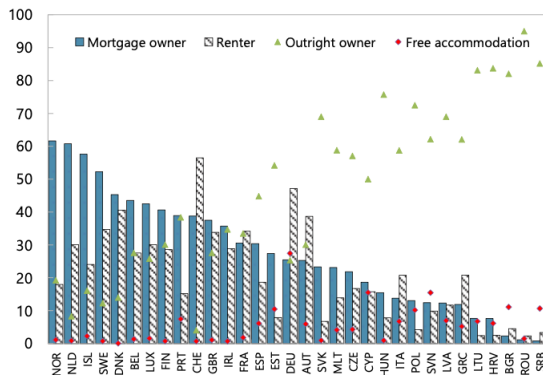


### Discretionary fiscal measures in response to COVID-19. (% of GDP)

Source: IMF Fiscal Monitor, October 2021.

# Comment 1b: Cross-country heterogeneity

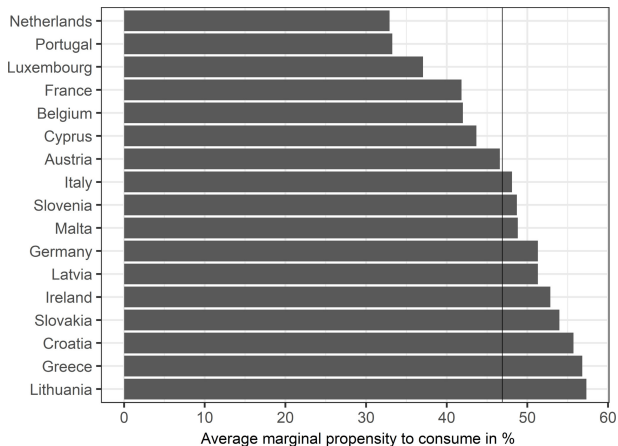
- Age profiles of many households' characteristics (demographics, asset holdings, etc...) vary a lot across countries.



Source: Topalova et al. (2023) using EU-SILC data.

## Comment 1c: Cross-country heterogeneity

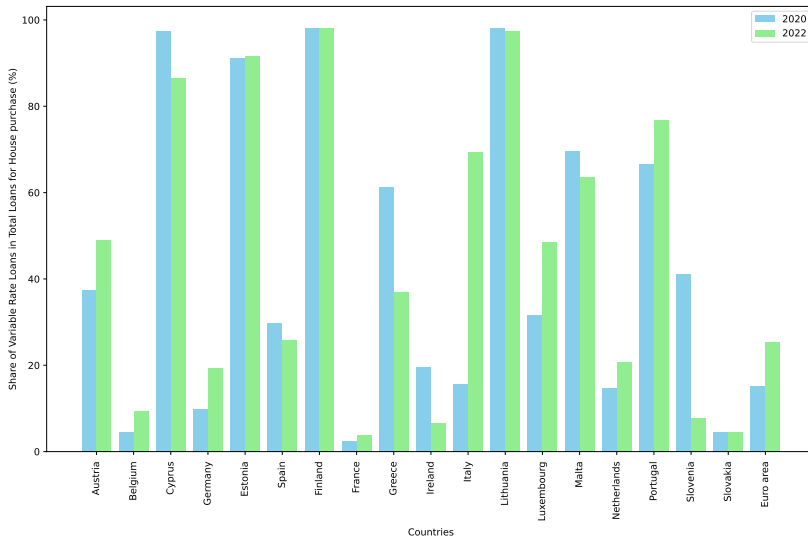
- How much is the aggregate **marginal propensity to consume** generated by the model?



Source: Drescher et al. (2020) using HFCS 2017.

# Comment Id: Cross-country heterogeneity

- Variable mortgage rate  $R_t^l = R_t$



Source: ECB.

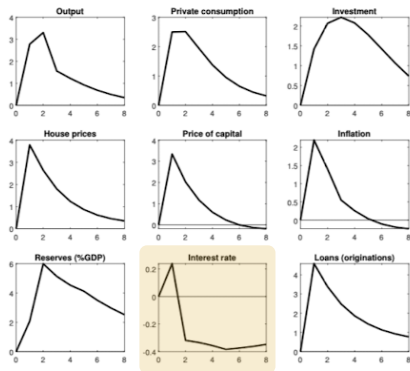
# Comment 1e: Cross-country heterogeneity

- ▶ Analysis at the country level will provide further insights.
  - \* Differences across the big 4?
    - + Palotti et al. (2023) show substantial differences in inflation and the role played by rigid rents as a hedge for the young/poor.
  - \* Center vs periphery?
  - \* EA vs US?



## Comment II: ELB

Figure 6: Aggregate effects of the pandemic stimulus



ECB interest rate (main refinancing operations, %)



Source: ECB

## Comment(s) III: Modelling assumptions

- ▶ Age-specific LTV ratios?
- ▶  $G$  in the utility function?
- ▶ Do sticky wages (union) imply a homogenous supply of hours from households in the same age cohort?
  - \* Gerke et al. (2024) show that this assumption can have important implications for heterogenous agent models.

# References I

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